Mani retired from the partnership firm on 31.03.2019 subject to the following adjustments:

(i) Stock to be depreciated by ₹ 5,000

(ii) Provision for doubtful debts to be created for ₹ 1,000.

(iii) Buildings to be appreciated by ₹ 16,000

(iv) The final amount due to Mani is not paid immediately

Prepare revaluation account and capital account of partners after retirement.

Solution

Dr. **Revaluation Account** **Cr.**

Particulars	₹	₹	Particulars	₹
To Stock A/c		5,000	By Buildings A/c	16,000
To Provision for doubtful debts A/c		1,000		
To Profit on revaluation transferred to				
Mani's capital A/c (4/10)	4,000			
Rama's capital A/c (3/10)	3,000			
Devan's capital A/c (3/10)	3,000	**10,000**		
		16,000		16,000

Dr. **Capital Account** **Cr.**

Particulars	**Mani ₹**	**Rama ₹**	**Devan ₹**	**Particulars**	**Mani ₹**	**Rama ₹**	**Devan ₹**
To Mani's loan A/c	**66,000**			By Balance b/d	50,000	50,000	50,000
To Balance c/d		**62,000**	**62,000**	By Revaluation A/c	4,000	3,000	3,000
				By Profit and loss A/c	12,000	9,000	9,000
	66,000	62,000	62,000		66,000	62,000	62,000
				By Balance b/d		62,000	62,000

12th-Accountancy-Unit-06.indd 202 1/4/2020 12:04:01 PM